

BAHI

The udhaar book both sides can see.

A kirana shopkeeper records credit by speaking to his Soundbox. The customer confirms it on his own phone, sees his own balance, and clears it in one tap. The agent works out, per person, when a reminder should go — and when it should not.

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Track 2 — AI-Powered Financial Journeys

Team Bitzlab

PROBLEM STATEMENT

The notebook has one author and two people's money in it.

About 1.3 crore kirana shops in India run a credit book by the till. It is written by one person, held by one person, and read by one person. The other party to every entry has no copy.

What the shopkeeper cannot see

Who is about to pay, and who is drifting away.

So he treats them identically. Sharma, who has paid on day 9 every month for two years, gets asked on day 4 and hears an accusation.

Patil, who has quietly reached day 40, gets asked nothing — he stopped coming in, so he is out of sight.

What the customer cannot see

His own total. He owes money at three shops and could not tell you the sum within ₹500.

And he holds no evidence. If the book says ₹500 where he remembers ₹300, there is no entry, no date, and no way to disagree.

The record is one-sided, and so is the argument.

How it is settled today

In public. Being asked for money in front of other customers is the enforcement mechanism.

The relationship is the collateral — so collecting the money costs the customer something that is not money.

The software that exists makes this worse. One live Indian product sells shopkeepers “instant community alerts when a chronic non-payer enters your neighborhood”.

The same notebook, with a second reader.

Five steps. Only one of them asks the shopkeeper to do anything he is not already doing.

01

He joins himself

A QR sticker by the till. The customer scans it once and he is in — the shop, and from then on his own running balance.

The shopkeeper types nothing.

02

The shopkeeper speaks it

“Sharma ko do sau udhaar.”

The Soundbox hears it. No screen, no typing, queue still moving. He can tag the man “Room 19, B wing” — he often does not know the surname.

03

The customer confirms

“₹200 recorded at Ramesh Kirana, 22 September.” He taps Confirm.

If he does not, the entry still stands — marked unconfirmed. The shopkeeper never loses his record. But a confirmed entry is a fact and an unconfirmed one is a claim.

04

The agent picks the day

Arithmetic over that one person’s own history. Not a score.

“Sharma pays on day 9. Do not chase before day 7.”

“Patil is at day 40 and has never passed 30. Ask — do not chase.”

05

One tap clears it

The reminder carries a UPI button. He pays from the screen he was reminded on.

The entry closes on both sides at once, and both of them watch it close.

Three sponsors, one rail, and a rule.

The rule: no language model ever produces a number. Every figure — balances, averages, the day a reminder goes — is deterministic Python. The model writes prose around figures handed to it.

Sarvam	Cognee	n8n	Paytm’s own rails
saaras:v4 hears “Sharma ko do sau udhaar” in the mixed Hindi-English a shopkeeper actually speaks, over shop noise. bulbul:v3 reads the balance back. The one place voice is not decoration — his hands are full and there is a queue.	Holds each customer’s rhythm and the shopkeeper’s standing instructions: “Patil is a daily wager, he pays after the 10th, never chase him before that.” The rhythm is arithmetic. Cognee remembers the instructions and the links between them.	The nightly timer and the plumbing. At 11pm it decides who to remind tomorrow, at what hour, in what words. Renders as a visual canvas — the only part of the stack a judge can verify without opening a terminal.	The Soundbox on the counter. The app in the customer’s pocket. UPI to settle in one tap. Postgres for the ledger, FastAPI, Next.js. The ingredient no startup can copy.

Every ledger app in India is one-sided. On purpose.

Khatabook has 5 crore shopkeepers and no customer app. OkCredit advertises the absence — “Customer ko app ki zaroorat nahi.” Paytm’s own Business Khata shipped in 2020, one-sided, and now sits orphaned off its product nav.

Two-sided, by consent

The customer confirms the entry. That single change turns a private assertion into a mutual record.

It is also how a platform discharges DPDP s.8(3) — the duty to ensure data used to make a decision about someone is accurate — which binds from May 2027.

Voice, where it is necessary

Paytm’s AI Soundbox grew a microphone in October 2025 and already takes spoken questions in 11 languages.

Three companies are building on that rail. Nobody has pointed it at credit. The hardware is on the counter, paid for, and idle for this.

Timing, not blacklisting

Per-customer repayment timing exists in formal collections — TrueAccord, Credgenics — and nowhere in informal credit.

What exists in the long tail instead is the shared defaulter list. We are the humane inverse of a product that already ships.

Built legal-first

Four statutes govern recording a debt and reminding someone about it. We read them before we built, and each became one hard constraint.

See slide 8. No competitor in this category has done this.

Three parties, and none of them loses.

The shopkeeper keeps his money and his customer. The customer gets a copy of his own obligations. Paytm gets volume that is currently settled in cash and therefore invisible to it.

The shopkeeper

Stops chasing the people who were always going to pay, and notices the ones who have genuinely changed.

Keeps his own record intact whether or not the customer confirms.

Recovers money without spending the relationship — which today is the price of asking.

The customer

Sees his own total across every shop he owes, for the first time.

Holds evidence. A disputed number stops being his word against the book.

Is reminded privately on day 7 instead of publicly on day 15.

And his debts expire, rather than being kept alive forever by our own prompts.

Paytm

Udhaar settles in cash today. Every entry cleared through BAHU is a UPI transaction that did not previously exist — new volume, not cannibalised volume.

A merchant whose credit book lives in the Soundbox does not churn off the Soundbox.

And a customer repaying ₹200 every nine days is generating the only evidence of creditworthiness he will ever have.

The ledger is not the product. The settlement is.

This category does not monetise by subscription, and we are not going to pretend otherwise. OkCredit has 10 crore downloads and ₹23 crore of revenue. Lummo reached 2.2% of Indonesian GDP, then handed \$70M back to investors.

What we charge	Where the money is	What it defends	What it unlocks later
Nothing. Not the shopkeeper, not the customer, and — critically — nothing on the reminder itself. That last one is a legal constraint, not generosity. See rule four.	Udhaar is settled in cash today — one of the largest pools of payment volume that has never touched a rail. Every entry cleared in-app is incremental UPI volume and MDR on transactions Paytm does not see at all today.	Soundbox subscription retention. The device stops being a payment announcer and becomes the place the credit book lives. That is the line Paytm already sells, and churn on it is the metric this moves.	A repayment record for people with no bureau file. Deliberately later, and deliberately not by us lending. Recording is outside CICRA; financing is not.

Khatabook raised \$187M, was last valued at \$600M in August 2021, and has not raised since. The ledger has never been the business.

Recording a debt is easy. Recording it safely is the product.

Every product in this category walks into the same four Indian statutes. We read them first, and each one became a single implementation constraint rather than a disclaimer.

RULE 1

Acknowledge, never promise

The button says “I owe ₹200”. It must never say “I will pay by Friday”.

An acknowledgment is recognised electronically under IT Act s.4. A promise to pay a fixed sum is a demand promissory note — a negotiable instrument, First Schedule entry 1, which sits outside the IT Act entirely.

One word in one button decides which statute governs the product.

RULE 2

Never a rupee above the price

No late fee, no convenience charge, no interest.

All four state Money-Lenders Acts define a loan as an advance “at interest”, of money or in kind. Maharashtra catches “any sum, by whatsoever name called, in excess of the principal”.

One ₹10 late fee makes the shopkeeper an unlicensed money-lender in Karnataka and Delhi.

RULE 3

Let debts die

Limitation Act s.18: every acknowledgment restarts a fresh three years, with no cap on restarts.

An app that keeps prompting turns a ₹200 debt from 2023 into one that is legally immortal. The paper diary let it die.

We stop prompting before the clock runs out, and tell both sides when an entry has expired.

RULE 4

Never monetise the reminder

The CCPA’s “nagging” dark pattern needs repetition and commercial gain. A reminder cadence supplies the repetition — so we refuse to supply the gain.

And never shame. BNS s.308, Illustration (a): threatening to expose someone unless they pay is extortion. Seven years.

That is our competitor’s entire business model.

WHAT RUNS ON 3 OCTOBER

Forty seconds, zero typing, and a loop the room watches close.

Built in the eight hours, on synthetic data that is labelled synthetic on every screen, and designed to keep working when the venue wifi does not.

The demo

The shopkeeper speaks an entry to the Soundbox.

A real phone on the judges' table buzzes.

A judge taps Confirm.

Both ledgers update in front of them.

Then: “do not chase Sharma before day 7 — he has paid on day 9 for two years.”

What is real

The voice capture, the confirmation round-trip, the ledger, the timing arithmetic, the expiry rule.

Every figure on every screen is computed from the data, never written into the copy.

What is mocked, and labelled

One shop, 60 udhaar customers, six months of entries and repayments with believable personal rhythms. Generated the night before.

No real UPI, no real Soundbox hardware, no auth.

How it survives the room

Every spoken line cached to disk — the venue wifi is assumed to fail.

Frozen at hour five, with a backup video recorded while it still works.

Change a repayment date in the database and the reminder day moves. There are no hardcoded shortcuts to find.